

Icici Bank vs Sardar Singh on 10 September, 2024

IN THE COURT OF MR. MUKESH KUMAR GUPTA,
DISTRICT JUDGE (COMMERCIAL COURT)-07,
CENTRAL DISTRICT, TIS HAZARI COURTS, DELHI

CS (COMM.) 462/2022
CNR No. DLCT01-0002572022

ICICI BANK LTD,
Registered Office At:
Near Chakli Circle, Old Padra Road,
Vadodara, Gujarat-390007.

Branch Office At:
E-3, Jhandewalan, New Delhi,

Through its Authorized Representative:
Mr. Pankaj Jain

Versus

Sardar Singh
S/o Sh. Bhan Singh
R/o C/o Prabha Devi, Street No. 08,
Arjun Nagar, Near Pataudi Chowk,
Gurgaon, Haryana-122001

New Address:-
Rajuto Ka mohalla Separa, Jhunjhunu, Rajasthan-331025

Also At:-
C/o. Asset Max Warehousing Pvt. Ltd.
Designation: Junior Sr. Engineer

Digitally
MUKESH
signed by
MUKESH
KUMAR

R2-279(A-55),
Mahipalpur Extn, Delhi-110037

KUMAR
GUPTA
Date:
GUPTA 2024.09.10
16:39:00
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CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh
SUIT FOR RECOVERY OF RS. 3,00,974/-

Date of institution of suit
First date before the court
Date of hearing final arguments
Date of Judgment

Appearance (s): Mr. Kush Kumar, Ld. Counsel for the plaintiff
: None for defendant (exparte).

JUDGMENT (Exparte)

1. By way of present judgment (exparte), I shall conscientiously adjudicate upon the suit of Plaintiff-Bank for recovery of Rs.3,00,974/- alongwith interest thereon @ 24% per annum pendentelite and future from the date of filing of the suit till its realization. The plaintiff has also prayed for costs of the suit.

2. The concise facts as averred in the plaint are that the plaintiff is a banking company within the meaning of Banking Regulation Act which is engaged in the business of banking, financing and providing loan facilities to its customers under various schemes and is having its registered office at Near Chakli Circle, Old Padra Road, Vadodara, Gujarat-390007 and its branch office at E-3, Jhandewalan, New Delhi. The present case relates to Jhandewalan Branch of the plaintiff bank represented by its authorized representative namely Mr. Pankaj Jain stated to be empowered to sign, institute and prosecute the suit and do all such acts and deeds on behalf of the plaintiff-Bank. The plaintiff has, however, later substituted its Authorized Representative, as prayed and Digitally signed by MUKESH MUKESH KUMAR allowed vide orders of the Court dated 29.01.2024. Accordingly, Mr. KUMAR GUPTA GUPTA Date:

2024.09.10 16:39:08 +0530 CS (Comm.) No.462/2022 ICICI BANK LIMITED VS.
Sardar Singh Page no. 2/11 Jitender Mehndiratta was substituted as Authorized
Representative of the plaintiff-Bank.

3. It has been averred in the plaint that defendant approached the plaintiff bank for grant of personal loan for an amount of Rs.5,00,000/-. The defendant agreed to abide by the terms and conditions applicable at the time of execution of loan documents and upon assurance by the defendant that he shall make the payment regularly as per the repayment schedule, the plaintiff-Bank sanctioned the loan amount and disbursed the amount of Rs.4,90,486.18/- to the defendant on 21.04.2018 vide Loan Account bearing No.LPGUR00037266838. The defendant agreed to pay the said loan amount in 48 equated monthly installments of Rs. 13,735/- each, as per the repayment schedule. Due to COVID-19 Pandemic and subsequent guidelines issued by the Reserve Bank of India, the tenure of the repayment was extended to 55 EMIs. Defendant pursuant to the sanctioned of the aforesaid loan amount, failed to adhere to the financial discipline of the repayment and payment of EMIs became irregular. The defendant as on the date of filing of the present suit, has paid only 28 EMIs out of 35 EMIs and has defaulted 7 EMIs as on 06.09.2021.

4. Repeated requests, reminders and notices were sent by and on behalf of the plaintiff-Bank from time to time, requesting and advising the defendant to clear outstanding loan amounts, but the defendant completely failed and neglected to pay the same. The plaintiff-Bank then recalled the Loan Facility available to the defendant by way of sending Recall Notice dated 30.01.2021 demanding from him to pay the whole Digitally signed by MUKESH KUMAR MUKESH KUMAR GUPTA outstanding amount. Defendant failed to make the payment against dues, Date:

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CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh

despite repeated calls and demand notice. As per foreclosure statement, Rs.3,16,510.36ps is mentioned to be outstanding which includes an amount of Rs.15,536.36p towards prepayment charges, however, plaintiff bank has not claimed the prepayment charges of Rs.15,536.36p. Hence, the plaintiff-Bank has come up with the present suit for recovery of total outstanding amount of Rs.3,00,974/-, from the date of filing of the present suit till realization along with costs of the suit.

5. Summons for Settlement of Issues were issued against the defendant and the defendant was served with the summons of the suit through speed post on 01.05.2023. Since, the defendant failed to file the Written Statement within the statutory period, his right to file the Written Statement was forfeited vide order dated 02.11.2023 of the Ld. Predecessor of the court. Further, since none appeared on behalf of defendant during the course of proceedings, the defendant was proceeded against exparte vide order dated 27.02.2024.

6. Plaintiff in support of its case got examined its Authorized Representative namely, Mr. Jitender Mehndiratta, whose deposition has been tendered as PW1. In plaintiff evidence, PW1 has tendered his chief- examination by way of affidavit relied upon as Ex. PW1/A. The witness reiterated the averments made in the plaint and deposed that he is authorized to depose before the Court vide Power of Attorney executed by the Plaintiff-Bank in his favour which is tendered as Ex. PW1/1 (OSR) and he has also filed Power of Attorney of previous AR Mr. Digitally Pankaj Jain which is tendered as Mark X. signed by MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.10 16:39:20 +0530 CS (Comm.) No.462/2022 ICICI BANK LIMITED VS.
Sardar Singh Page no. 4/11

7. PW1 has testified that defendant availed the Loan Facility from the Plaintiff-Bank for which he approached and requested the plaintiff-Bank for grant of personal loan in his favour, for a sum of Rs. 5,00,000/-, vide Preliminary Credit Facility Application Form as Ex. PW1/2 and Credit Facility Application Form as Ex. PW1/3. The plaintiff-Bank after due verification and details, disbursed the said amount after deducting processing fee, vide Loan Account bearing No.LPGUR00037266838 to the defendant vide Disbursement Memo as Ex. PW1/4. Defendant failed to comply with the terms and conditions of the aforesaid Loan Agreement and failed to pay the outstanding amount upon which the plaintiff-Bank issued a Recalled/demand notice dated 30.01.2021 tendered as Ex. PW1/8 upon the defendant calling upon him to repay the outstanding amount and the postal receipt is

tendered as Mark Y. Despite notice, defendant neither replied the notice nor paid the outstanding dues. The witness has further deposed that as per the statement of account dated 06.09.2021 maintained by the plaintiff-Bank, the defendant was liable to pay a sum of Rs.3,00,974/- (excluding prepayment charges of Rs. 15,536.36p). As the defendant failed to make the payment despite repeated calls and legal notice, present Suit for Recovery of total outstanding amount of Rs.3,00,974 /-, due as on 06.09.2021, plus accrued interest, has been filed on behalf of plaintiff. Statement of account has been relied upon as Ex.PW1/5 (colly.). The requisite Certificate U/s.65-B of the Indian Evidence Act is tendered as Ex.PW1/6. The requisite Certificate Under Section 2A of Banker's Book of Evidence Act, 1891 is tendered as Ex.PW1/7. Digitally signed by MUKESH MUKESH KUMAR KUMAR GUPTA 8. The plaintiff bank did not examine any other witness and vide GUPTA Date:

2024.09.10 16:39:26 +0530 CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh Page no. 5/11 statement dated 27.02.2024, the plaintiff's evidence was closed.

9. Submissions of the Ld. Counsel for the plaintiff have been heard and the entire record including the pleadings, documents and evidence on record has been appreciated. The defendant did not appear upon service, either in person or through pleader. No written statement has been filed.

Defendant was proceeded exparte vide order dated 27.02.2024. During the pendency of the suit, defendant never appeared to challenge the testimony of the plaintiff witness.

10. At the outset, the court shall take up the issue of limitation which is a legal issue, which the court is required to determine for the purpose of deciding the entitlement of plaintiff to the relief claimed. As per Section 3 of the Limitation Act, 1963, any suit, application or appeal has to be filed within the period of limitation as prescribed under the schedule annexed to the Limitation Act and subject to provisions contained in Section 4 to 24. This has to be done irrespective of the fact whether limitation has been set up as a defence or not. It is a settled proposition of law that law of limitation is a law of repose, peace and justice which bars the remedy after the lapse of particular period by way of public policy and expediency. Reliance is placed on AIR 1991 Kerala 83 Craft Centre vs. Koncherry Coir Factories. It may be seen that the present suit is for recovery of amount outstanding against the defendant in respect of personal loan sanctioned by the plaintiff bank to the defendant pursuant to Credit Facility Application Form dated 21.04.2018. The defendant initially paid only 28 EMIs and thereafter started Digitally signed by defaulting. The defendant made payment of Rs.13,735/- by way of MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.10 16:39:31 +0530 CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh Page no. 6/11 cheque lastly on 27.07.2021 and the next EMI was due on 05.08.2021. As such, as per article 19 of the Limitation Act, a fresh period of limitation commences once payment is made on account of debt due and the payment so made by the defendant by way of cheque is towards part of the total outstanding. Once the payment is made towards the part payment of total outstanding due alongwith the acknowledgment of such payment, Section 19 of the

Limitation Act, 1963 comes into play whereby a fresh period of limitation starts on payment having been made and acknowledged in writing and under the signature viz by a cheque towards the part of outstanding dues. Reliance are placed on RFA 144/2004 M/s. Narayangarh Sugar Mills Ltd. vs. Krishna Malhotra, decided by Hon'ble High Court of Delhi on 12.03.2012 and CS(OS)No.1177/2003 Ms. Veena Jain vs. Sunil Sood, decided by Hon'ble High Court of Delhi on 23.07.2012. In this case, the defendant has made the payment of Rs.13,735/- by way of cheque lastly on 27.07.2021 and the present suit was filed on 05.01.2022. Therefore, applying the ratio of the aforesaid judgments and as per article 19 of the Limitation Act, 1963, the present Suit having been filed on 05.01.2022 is well within the period of limitation as per law.

11. The present suit has been filed on behalf of the plaintiff based on outstanding amount shown in the Statement of Account vide Ex.PW1/5 (colly.) showing an outstanding balance of Rs.3,00,974/- (excluding prepayment charges of Rs. 15,536.36p), duly supported with Certificate U/s. 65-B of the Indian Evidence Act Ex.PW1/6. The Certificate under section 2A of Banker's Book of Evidence Act has been duly proved Ex.PW1/7. As per the case of the plaintiff, the defendant has failed to Digitally pay the outstanding amount of Rs.3,00,974/- which as per the Statement signed by MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.10 16:39:35 +0530 CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh Page no. 7/11 of Account Ex.PW1/5 (colly) is due and pending against the defendant. The loan recall notice dated 30.01.2021 has been duly proved on record as Ex.PW1/8. As per the deposition of PW1 despite the aforesaid, defendant has failed to pay the outstanding amount leading to filing of the present suit.

12. The onus to prove the averments and claim of the plaintiff rests entirely upon the plaintiff who has to discharge the burden of proof to establish its case, as per law. In civil litigation, it is sufficient for the plaintiff to discharge the burden laid upon it successfully, if the plaintiff is able to prove its case by preponderance of probabilities. It is the law of land as re-affirmed by the Hon'ble Apex Court in Adivappa V. Bhimappa (2017) 9 SCC 586. Hon'ble Supreme Court of India in Adivappa (supra) was pleased to uphold that:

"It is a settled principle of law that the initial burden is always on the plaintiff to prove his case by proper pleadings and adequate evidence (oral and documentary) in support thereof."

Thus, the onus to prove its case and that the burden to prove the case as per law entirely lies upon the plaintiff, by way of documentary and oral evidence.

13. The present suit has been filed on behalf of plaintiff bank, on the basis of Personal Loan Facility granted by the plaintiff in favour of the defendant, in regular course of banking business. In such

cases, documentary evidence is of paramount importance as there is continuity Digitally signed by of maintenance of account, as per RBI guidelines, irrespective of change MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.10 16:39:40 +0530 CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh Page no. 8/11 of guard, transfer of officials from a particular bank facility or branch. Hence, it is a matter of settled practice for public financial institutions to maintain regular and proper accounts against each and every customer account. Accordingly, the court has meticulously scrutinized the evidence, document and statement of account tendered through the testimony of PW1.

14. Now, the court has to see as to whether the plaintiff bank justifiably raised the outstanding against the defendant. It may be seen that upon appreciation of documentary evidence, plaintiff placed reliance on Statement of Account vide Ex.PW1/5 (colly.). As per the said Statement of Account proved on record as Ex.PW1/5 (colly.), the total outstanding balance of Rs.3,00,974/- including principal outstanding balance of Rs.2,63,328/-, interest component on pending installment as Rs.18,173/-, and Rs.15,536.36p towards prepayment charges @5.9% on outstanding principal besides other dues against the defendant as on 06.09.2021. However, plaintiff bank did not claim prepayment charges. The Statement of Account has been duly accompanied by Certificate U/s. 65-B of the Indian Evidence Act,1872 Ex.PW1/6 and under Section 2A of Banker's Book of Evidence Act, 1891 Ex.PW1/7.

15. During the examination of PW1, a court question was put to the witness, as to whether any payment was made by the defendant during the pendency of the suit. To which, the witness has answered that he has paid a sum of Rs.4,010/- to the plaintiff bank towards his loan amount during the pendency of the present suit. Accordingly, the defendant is Digitally indebted with an outstanding principal amount of Rs.2,63,328/- as signed by MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.10 16:39:46 +0530 CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh Page no. 9/11 principal amount and other ancillary charges including check bouncing charges of Rs.6,136/- and late payment penalty of Rs.13,265/-. However since the loan was foreclosed on 30.01.2021, the plaintiff shall not be entitled to interest on pending installments of Rs.18,173, Rs.72/- as interest for the month of January, 2021 and prepayment charges of Rs.15,536.36ps/-. Plaintiff bank has not claimed the prepayment charges of Rs.15,536.36ps. Further, defendant has paid a sum of Rs.4,010/- to the plaintiff bank during the pendency of the suit and the same is also required to be reduced from the amount claimed by the plaintiff bank. Thus, the amount of Rs.22,255/- is required to be deducted from the total amount claimed. As such, the plaintiff shall be entitled to a recovery of Rs.2,78,719/- against the defendant. The testimony of PW1 remained unchallenged and unrebutted, as such there is no reason for the court to disbelieve the same except the fact that the amount as discussed above is required to be deducted. The plaintiff bank has been able to prove its case to the extent of preponderance of probabilities.

16. In view of the above, the plaintiff bank is accordingly entitled to a decree for a sum of Rs.2,78,719/-, against the defendant. The Plaintiff Bank shall also be entitled to interest @ 6% per annum on the decretal amount pendente lite and future from the date of filing of the suit till the date of its realization. Reliance placed on Pt. Munshi Ram @ Associates (P) Ltd. V. DDA, 2010 SCC Online Delhi 2444 and Rajendra Construction Co. Vs. Maharashtra Housing & Area Development Authority and others, 2005 (6) SCC 678, McDermott International Inc. Vs. Burn Standard Co. Ltd. and others, 2006 (11) SCC 181.

MUKESH KUMAR GUPTA MUKESH KUMAR CS (Comm.) No.462/2022 ICICI BANK LIMITED VS. Sardar Singh Page no.

17. In the specific facts and circumstances of the case, Plaintiff Bank shall also be entitled to costs of the suit throughout against the Defendant.

18. Decree Sheet be prepared accordingly.

19. File be consigned to record room after due completion.

Pronounced in Open Court Digitally signed today on this 10th September, 2024 by MUKESH MUKESH KUMAR GUPTA KUMAR Date:

GUPTA 2024.09.10 16:39:59 +0530 (Mukesh Kumar Gupta) District Judge
(Commercial Court) -07 Central District, THC, Delhi/10.09.2024 'rk' CS (Comm.)
No.462/2022 ICICI BANK LIMITED VS. Sardar Singh Page no. 11/11